

The soft-spoken and extremely reclusive Radhakishan found an unlikely partner in the outspoken and high-strung Rakesh Jhunjhunwala, a few years his junior. The duo were like chalk and cheese in many respects but shared a common ideology of value investing, even if they did not always bet on the same stocks. In fact, there were occasions when they took opposite calls on the same stock without their strategies affecting their camaraderie.

Almost everybody on Dalal Street starts his career as a speculator, and the smart few manage to grow their initial profits into a fortune by evolving into long-term investors. By the mid-1990s, the Radhakishan Damani-Rakesh Jhunjhunwala duo (GS-Rakesh, as the market knew the pair) were in the process of that transition after having made a fortune as traders.

Radhakishan had built a sizeable portfolio dominated by MNC blue chips, with Indian Shaving Products Limited (ISPL, later renamed as Gillette India) being one of his big bets. Rakesh was not as big a fan of MNCs as his trading partner, and while his portfolio did have MNC names, it was dominated by domestic companies. I tried to study the strategies of the masters of the game like GS and Rakesh, and improvised on them with some techniques of my own.

Meanwhile, the party in the primary market carried on. Junk companies and their dubious promoters were having a free run, with the underlying strength in the economy giving investors the confidence that the best was yet to come. Then, in February 1995, investors got their first reality check as to the quality of companies and promoters that were raising money from the market. The botched MS Shoes public issue revealed how easy it was for promoters and merchant bankers to hoodwink the regulator. Worse still, the episode also exposed the lax oversight by SEBI in this particular case, and the corruption within its ranks.

The Pavan Sachdeva-promoted company wanted to raise Rs 700 crore to fund a hotel project and a yarn project. It decided to make a composite public issue-cum-rights share offering. The public issue was for fully convertible debentures – bonds that could be converted to equity later on.

MS Shoes was already listed, and the promoter, in collusion with associate brokers, ramped up the stock price to charge a hefty premium for the issue. Shares of MS Shoes climbed from Rs 268 in July 1994 to a record high of Rs 505 by January 1995, thanks to rampant manipulation by brokers backed by Sachdeva. When the stock price of MS Shoes collapsed, the brokers who were buying on behalf of the company could not meet their